A regulator may also have to prevent certain forms of contracting – such as the exotic securities that emerged before the financial crisis. If the regulator thinks a certain kind of security will impose undue systemic risks on the system, he can ban it, even though the security would have traded amongst consenting adults. While he has no proof that the security will behave as he thinks it will, he cannot wait till the risks occur, for it may be too late.

The broader point is that a lot of regulatory action is about the sound exercise of judgment by the regulator based on years of experience. In doing so, he fills in the gaps in laws, contracts, and even regulations. Not everything the regulator does can be proven in a court of law. Courts do not interfere in the specific decisions of a corporate board – using the business judgment rule, they do not second guess business decisions, and only pull up boards when there is a violation of the legal process of arriving at a decision. In the same way, there are a range of regulatory decisions where regulatory judgment should not be second guessed.

THE DANGER OF EXCESSIVE LEGAL OVERSIGHT

Yet the FSLRC wants almost everything the regulator does, not just the framing of regulation but also the exercise of regulatory judgment, to be subject to legal appeal. For that, it wants to create a Financial Sector Appellate Tribunal. The intent is to place more checks and balances on regulatory actions (note that most regulatory actions can already be appealed in high court). But how much checking and balancing is enough, and can legal oversight become excessive?

There are three dangers we have to guard against. The first is to ask courts to make judgments that they simply do not have the capability, experience, or information to make, and where precise evidence may be lacking. If we attempt to do this, we will undermine the very purpose of a regulator. Of course, one could trust the good